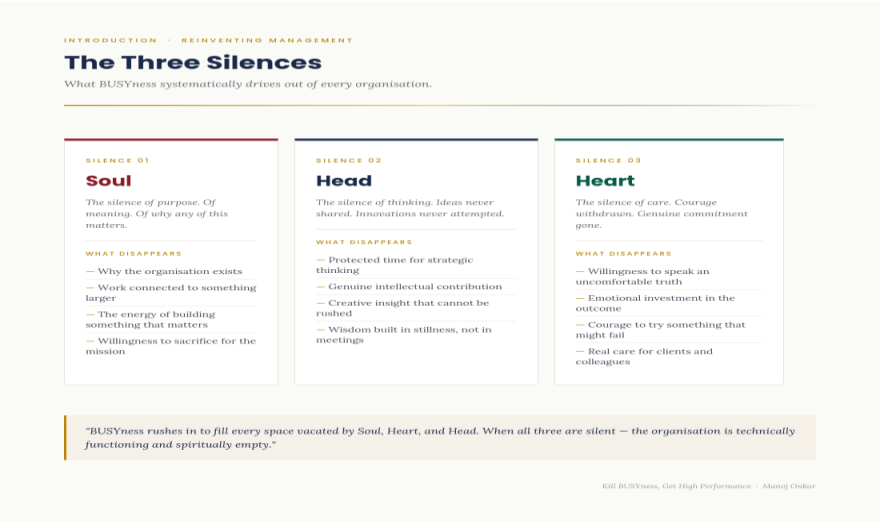

CHAPTER 2

Purpose

> *"An organisation without purpose is an organisation that is slowly, quietly, expensively dying."*

Purpose is Business. Everything else is BUSYness.

Here is a question worth sitting with: Why does your organisation exist?

Not the version on the website. Not the sentence in the investor deck. The real answer — the one that makes people feel something.

If that question produces hesitation, or a polished answer that you can tell has been rehearsed without ever being truly felt, that tells you something important. It tells you that your organisation may

have goals, targets, plans, and strategies — but it may not have a real purpose. And without one, everything your people are working toward is, at its deepest level, arbitrary.

Purpose is not a branding exercise. It is the fundamental answer to why a human being would choose to invest the majority of their waking hours in your organisation rather than anywhere else. And when that answer is real — truly real, lived and felt and visible in the decisions that get made every day — something significant happens. People stop doing a job and start building something. They bring not just their skills but their judgment, their creativity, their courage, and their real care. They stay not only because the salary is good but because what they are part of matters.

An organisation without purpose is an organisation that is slowly, quietly, expensively dying — even when all the numbers say otherwise.

Purpose is Not a Poster

Walk into most organisations, and you will find purpose on the wall. Framed. Printed. Sometimes in a beautifully designed font. And if you look around the room at the people who walk past that poster every day, you will often notice something: they do not see it any more.

Not because they do not care. But because what is on the wall and what happens in practice have drifted so far apart that the poster has become decor — another piece of corporate furniture that nobody interacts with.

This is the difference between a *stated* purpose and a *lived* purpose.

A stated purpose is what the organisation says it exists to do. A lived purpose is what the organisation actually does — in every interaction, in every decision, when no senior leader is present.

The test is not whether your purpose sounds inspiring. The test is whether a frontline employee, three levels below the executive team, could tell you why their work matters — without consulting a document.

What Purpose Actually Does

Purpose is remarkably practical. Leaders who treat it as a values exercise or a communication tool are missing its structural role in organisational performance.

Purpose makes decisions easier.

When you are clear about what your organisation exists to do, a large number of decisions answer themselves. The question is not "What should we do?" It is "Does this serve our purpose?" And suddenly the choice becomes clear.

We were engaged in a long-term consulting assignment with the leadership team of an SME in South India. Before the session, the CEO had a long list of questions — how to address this issue, what to do about that problem. We made a proposal: set the list aside. Let the leadership team first co-create a real purpose and a real strategy to fulfil it. Most of the questions, we believed, would disappear once

the team knew clearly why the organisation existed and where it was going.

Over the next two days, something shifted in the room. The leadership team built a purpose they meant. They aligned on a strategic direction they actually believed in. By the end of the second day, the energy in the room was different. The co-founder said it plainly: "We moved further in these two days than we had in the past two months." Nearly every item on that original list had either resolved itself or revealed itself as a symptom of the deeper absence — the absence of a shared direction. Purpose had not answered the questions. It had eliminated most of them.

Purpose attracts the right people.

Not just people who need a job — people who want *this* particular work. Those who feel something when they hear what the organisation stands for. People who would be drawn here even if several other options were available.

Our own organisation has experienced this directly. Our purpose is "Reinventing Management and Helping Leaders Build Extraordinary Organisations." Many professionals — consultants, entrepreneurs, even CEOs — have joined us in various capacities not because of salary but because they want to be partners in creating this possibility. We call it the Extraordinary Organisation Movement. An Extraordinary Organisation, in our definition, is one where: organisations are future-ready; people bring their head, heart, and soul to their work; and the organisation is a positive force in society — not just through CSR, but through its very existence.

That definition attracts people who want to build that. Not people who want a job.

Deloitte's 2024 Global Millennial Survey found that 75% of workers under 40 rank purpose higher than salary when evaluating where to work. 78% actively prefer a purpose-driven organisation. For any leader building a team in the next decade, this is not a values question. For any leader serious about the next decade, this is no longer a values question — it is a talent strategy.

Purpose retains people through difficulty.

Every organisation goes through hard periods. Markets shift. Products fail. Teams face grinding stretches of difficulty.

In a purposeless organisation, those periods produce attrition — the best people leave because there is nothing anchoring them to this particular place. In a purpose-driven organisation, the same people dig in. Because the difficulty is in service of something that matters to them.

Deloitte's Purpose Premium study found that purpose-driven companies show 40% higher retention and 30% higher innovation than their peers. During the pandemic — the period of maximum pressure, maximum uncertainty — purpose-led companies recorded valuations four times higher than low-purpose peers. McKinsey's research adds a human dimension: employees who find their work genuinely meaningful are four times more likely to report high engagement. Over a twenty-year horizon, purpose-driven companies achieve a compound annual growth rate five

times higher than the S&P 500 average. **Purpose is not what makes an organisation feel good. It is what makes it last.**

Purpose aligns without the need for control.

One of the silent costs of a BUSY organisation is the enormous amount of managerial energy spent coordinating, aligning, and correcting direction. When purpose is shared, people self-align. They do not need to be told why every decision was made. They understand the direction and can orient themselves within it. The managerial overhead drops dramatically.

When Purpose Disappears into the Middle

Here is one of the most painful realities of organisational life: purpose often exists at the top and fades with each level below — until at the frontline it has become invisible.

The CEO means it. Truly. The board believes it. The executive team can articulate it with real conviction. And then somewhere in the translation — through layers of targets, processes, reporting structures, and daily operational pressure — the purpose gets lost. What arrives at the frontline is a set of KPIs and a list of tasks. The *why* has evaporated.

Gallup's research makes the mechanism of this loss concrete. 70% of a team's engagement is directly linked to their immediate manager — not to the CEO's vision, not to the company's purpose statement, but to whether the person directly above them understands and transmits what this work is for. When managers

carry the purpose, 70% of their teams are engaged. The global average, in organisations where that transmission is absent, is 21%.

That gap — between 70% and 21% — is not the gap between a great organisation and a mediocre one. It is the gap between a manager who knows why their team's work matters and one who was never told, or was told and never felt it.

BUSYness creates that gap, layer by layer, as purpose gets replaced with KPIs on the way down.

Purpose and the BUSYness Connection

BUSYness is, in part, what fills the space where purpose should be.

When people know why they are here, they tend to prioritise naturally. They make good calls about where to invest their energy. They protect what matters and let go of what does not.

When purpose is absent, people default to activity. They fill their days with motion because motion feels better than uncertainty. Meetings, emails, updates, responses — all of it creates the comforting sensation of being needed, of contributing, even if none of it is actually moving the organisation forward.

This is why purpose is not a values exercise. Purpose is a performance architecture.

Key Finding	Source
Purpose-led companies: 4x higher valuations vs low-purpose peers	*Deloitte, "The Purpose Premium"*

Key Finding	Source
40% higher retention; 30% higher innovation in purpose-driven companies	*Deloitte, C-suite insights on purpose*
Purpose-driven companies: 5x CAGR over S&P 500 over 20 years	*Jump Associates, Payback on Purpose study*
75% of workers under 40 rank purpose above salary	*Deloitte Global Millennial Survey 2024*
Employees finding meaning: 4x more likely to report high engagement	*McKinsey, April 2021*
70% of team engagement is linked directly to the immediate manager	*Gallup, State of the Global Workplace 2025*

A Sad Reality

One of India's most prominent infrastructure conglomerates — a group whose name appears regularly in business headlines and whose projects have shaped public infrastructure across the country — came to us with initial interest in co-creating a purpose for the group and its major companies.

When we began the conversation, the group chairman communicated his position clearly through the leadership team: purpose does not make any difference in how business is run.

In a painful sense, he was right. An organisation that has been distracted from its founding purpose for a long time — and is now BUSY hiding and managing the consequences of that drift — finds both "purpose" and "co-creation" to be dangerous conversations.

Within two years of that interaction, the group's financial mismanagement had been exposed. The losses to stakeholders — financial, reputational, and for corporate India broadly — were significant.

A case study in what BUSYness, left unchallenged, ultimately destroys.

Living It: What Purpose-Led Leaders Actually Do

They talk about it. Not in fancy slides. In conversations. In one-on-ones. In the way they explain a decision. In the way they respond when things go wrong. Purpose-led leaders are constantly, naturally, authentically connecting the work back to the why.

One of the organisations that has demonstrated this most starkly is Patagonia. Founded on the mission "We're in business to save our home planet," Patagonia grew from a climbing gear startup to $1 billion in annual revenue — not despite its purpose but through it. Employee turnover runs at a fraction of the industry average. In 2022, founder Yvon Chouinard made the most radical purpose-led decision in modern business history: he transferred 100% of the company's ownership to a purpose trust and a nonprofit, pledging all profits — approximately $100 million per year — to fight climate change. His explanation was disarmingly simple: "Instead of going public, you could say we're going purpose." McKinsey's 2025 analysis of 2,300 R&D projects found that purpose-aligned initiatives have a 30% higher probability of reaching market launch, driven by the quality of commitment they generate. Purpose does not slow organisations down. It compels them forward.

What Purpose Is Not

Purpose is not a goal. "Become the market leader in our segment by 2027" is a goal. Goals tell you where you are going. Purpose tells you why the destination matters once you get there.

Purpose is not positioning. "We deliver the most reliable solutions in our industry" might be a competitive claim. It is not a purpose. Purpose is not about your position relative to competitors. It is about your position in the world.

Purpose is not permanent. This is counterintuitive. But purpose evolves as organisations evolve, as the world changes, as what is needed changes. The discipline is not to find a perfect purpose statement and enshrine it forever. The discipline is to keep asking the question: why does this still matter?

Exercises — Chapter 2: Purpose

— Write your organisation's purpose in one sentence without looking it up. What comes naturally?

— Now ask three frontline employees, three mid-level employees, and three senior employees to do the same. Compare the answers.

— Where is the gap? What does the gap tell you about what has been transmitted versus what has been stated?

Exercise 2: Purpose in the Decisions

— Name three significant decisions made in the last quarter. For each one, ask: Was the purpose a visible input into this decision?

— Where did urgency or activity override purpose? Where did purpose hold?

— What decision, if made differently, would have been more aligned with what you say you exist to do?

Exercise 3: The Transmission Audit

— If you were invisible for 30 days, would purpose continue to be transmitted through your organisation — or would it stop?

— Which leader, besides you, is the strongest transmission point for purpose? Who is the weakest?

— What one structural change would make purpose more visible in the daily experience of your frontline people?

The Mirror Question

Do your people come to a job or come to fulfil a purpose? Can you tell the difference on Monday morning? If yes, describe what you see. If no, what has replaced the purpose?

Purpose is not what you say. It is what people feel when they describe their work to someone who has never heard of your organisation. Find out what they say. That is your real purpose, as it exists today.

Chapter 3 moves from why to where. Once you know what you exist for, you must make the hardest choice in business: where exactly you will play, and what you will not do. Without that choice, purpose remains aspiration. With it, it becomes a strategy.